

ANNUAL OPERATING BUDGET

A. Budget Development

1. Budget preparation guidelines shall be prepared annually. The guidelines shall prescribe procedures for the orderly development and approval of the budget. It will be used by account managers in preparing budget requests. The annual budget development will consider salary and benefit savings resulting from normal workforce lapse and turnover.

2. The budget documents shall include a description of the planned programs and activities of the school division and shall express requirements in terms of both human and financial resources.

3. The operating budget shall be developed incorporating operating costs associated with capital projects as approved in the Capital Improvement Program.

B. Review of the Budget. The School Board shall approve an annual board calendar including public hearings on the Superintendent's proposed budget, review the budget in detail in a series of work sessions open to the public, adopt a budget request for submission to the Loudoun County Board of Supervisors, and reconcile the budget through work sessions open to the public, if needed.

C. Periodic Financial Reports

1. First Quarter Review. Monthly financial reports as of the end of September shall be the basis for the initial budget review each year. Revenue and expenditure adjustments from the approved budget may result from variances between projected and actual school membership, carryover funding from open encumbrances and grants from the prior fiscal year, and supplemental appropriations. A report of the adjustment items to the revised appropriated budget will be provided to the School Board in the initial review.

2. Second Quarter Review. Monthly financial reports as of the end of December shall be the basis for the second quarter budget review. A report of revenue and expenditure variances shall be provided to the School Board in the second quarter budget review.

3. Third Quarter Review. Monthly financial reports as of the end of March shall be the basis for the third quarter budget review. A report of revenue and expenditure variances shall be provided to the School Board in the third quarter budget review.

4. Final Budget Review. The balance of orders encumbered prior to the deadline will be carried over into the next fiscal year along with appropriated funds to cover the encumbrance. A report of revenue and expenditure variances will be provided to the School Board as part of the comprehensive annual financial report.

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[Former Regulation 4-8 REG]

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Legal Refs: Code of Virginia, 1950, as amended, §§ [15.2-2500](#), [15.2-2503](#), [15.2-2504](#), [15.2-2506](#), [22.1-91](#), [22.1-92](#), [22.1-93](#), [22.1-94](#)